Chapter Twenty

State of the Digital Economy

Digital technologies are transforming economies the world over. The global digital economy is estimated to be about $5 trillion or about 5–6 per cent of global GDP. However, there is still a lot of non-standard measurement of global digital GDP. Microprocessor chips by Intel are unquestionably digital hardware. So are laptops produced by Dell or desktops by Lenovo. Likewise, written code and business process management (BPM) services by TCS and Infosys are also clearly part of the digital economy. However, is the turnover of an e-commerce platform like Amazon or Flipkart digital economy? Or payments made through unified payments interface (UPI)?

The difference between digital economy and digitalization of economy has to be clearly understood. The sale of goods is trade, whether performed by a mom-and-pop store, malls or on e-commerce platforms. Likewise, providing credit by banks is banking, whether delivered by processing a manual file or digitally. Production processes are getting increasingly digitalized across all sectors of the economy by building in integrated circuits and software programs. The capex incurred on digitizing a manual or agricultural or industrial process gets counted as value added by the supplier of digital technology but that does not make the digitalized process digital value added or digital GDP. There should not be double counting of digitalized services like trading, banking or entertainment as digital economy.

A good metric is to assess the digitalization of different sectors of the economy if we want to understand how much of the economy or parts of the economy are becoming digital. Digitalization can be measured by developing a good index taking into account factors like the extent of